

EU airline carbon costs set to rise

送信者: POLITICO Pro Morning Mobility Europe 受信日時: 2026-08-19 14:06

[【メール原文】](#)

Navigating the complex world of EU mobility policy and infrastructure. By JORDYN DAHL with TOMMASO LECCA SNEAK PEEK — EU airlines are expected to rema

Navigating the complex world of EU mobility policy and infrastructure.

By JORDYN DAHL

with TOMMASO LECCA

[View in your browser](#) or [listen to audio](#)

SNEAK PEEK

- EU airlines are expected to remain significantly more exposed to carbon pricing than most of their global competitors, due to rising Emissions Trading System costs.
- The Commission's latest draft revision of its main state aid framework is prompting fresh concern among European airports.
- China's Geely is looking to avoid EU tariffs by boosting production at Volvo's European factories.

Good morning, and welcome to Morning Mobility.

Tips to jdahl@politico.eu , tlecca@politico.eu and msapio@politico.eu . Follow us [@tommylecca](#) , [@jordyndahl](#) and [@martsapio](#) .

DRIVING THE DAY

EU AIRLINE CARBON COSTS SET TO RISE: European airlines are expected to remain significantly more exposed to carbon pricing than most of their global competitors, according to a BloombergNEF analysis shared with Morning Mobility.

The price of carbon emissions: BloombergNEF estimates that airlines worldwide will face \$143.3 billion in carbon compliance costs over the next decade, and European carriers are expected to bear a disproportionately large share of those costs. Ryanair is expected to incur \$22.8 billion in compliance costs, followed by Lufthansa at \$11.5 billion.

Costs vs. revenues: For Air France-KLM, "carbon costs would be around \$8.8 billion over the next decade, and their potential revenue growth would be just \$4.6 billion," said Rosy Finlayson, carbon associate at BloombergNEF. Those costs are largely driven by the EU's Emission Trading System, whose carbon price is expected to continue rising.

Be prepared: BloombergNEF forecasts the ETS carbon price will reach €137 per metric ton over the next decade, up from its previous forecast of €131 estimated earlier this year, Finlayson said. The current price is €82 per ton.

By comparison, U.S. carrier Delta Air Lines — whose exposure is largely limited to the U.N.'s Carbon Offsetting and Reduction Scheme for International Aviation — is expected to face around \$1.5 billion in carbon compliance costs over the next decade, while its potential revenue growth is estimated at \$11.8 billion, Finlayson told Tommaso. CORSIA compliance costs are expected to average around \$50 per metric ton.

Enlarging the ETS: Commission proposed in July to extend the ETS to flights departing the EU and bound for destinations within 5,000 kilometers of Frankfurt Airport, a compromise designed to avoid a broader trade dispute with the U.S. and China. According to BloombergNEF, the proposal would increase aviation emissions covered by the ETS to around 90 million metric tons of CO₂ equivalent from roughly 60 million tons under the current system.

Potential losers: "We identify major Middle Eastern network carriers — so this would include Turkish Airlines, Emirates, Qatar Airways and Etihad Airways — that would probably bear the brunt of additional carbon costs each year the most if this proposal is adopted," Finlayson said. That is why she expects "some pushback" from those airlines.

ReFuelEU feasibility: The analysis also assesses the implementation of ReFuelEU Aviation and its sustainable aviation fuel mandates. BloombergNEF expects the targets up to 2035 to be "largely met," although the requirement to reach 20 percent SAF use by 2035 "could be more challenging to meet," Finlayson said, warning that compliance costs could become a significant burden for airlines.

STATE AID

AIRPORTS PUSH BACK AGAINST COMMISSION'S STATE AID DRAFT: The Commission's latest draft revision of the General Block Exemption Regulation — the EU's main state aid framework — is prompting fresh concern among European airports. The proposal, scooped by our colleague Francesca Micheletti, would restrict investment aid to airports handling over 500,000 passengers a year. It would also extend the distance from another airport beyond which state aid restrictions apply from 100 kilometers to 150 km.

Small airports voice concern: "The revised GBER remains too restrictive for Europe's smaller regional airports," said Philippe Sacré, secretary-general of airport lobby ACI Europe. "The evidence supports raising the operating-aid threshold from the proposed 500,000 passengers to 700,000, which would better serve the GBER's objectives of simplification without distorting competition between airports," Sacré told Tommaso.

Tell me why: "Equally, there is no evidence-based case for extending the current 100 km restriction on investment aid to 150 km," he said. "When discussing state aid for regional airports, we should not look at airports solely through a competition lens: regional airports are instruments of territorial cohesion."

RULES ON CORPORATE LEASES: The draft also sets out aid rules for vehicles used in corporate fleets, allowing governments to give aid for zero-emission vehicles. Article 53 of the draft would allow leases of over 12 months. Leaseurope, a trade association, wants hybrids and low-emission vehicles to also be included but "it is still helpful to have clarity now that most leases of 12 months or more should be eligible," said Richard Knubben, director general.

Price comparisons: Under the revised GBER, state aid is limited to covering the extra costs of leasing a zero-emission vehicle rather than a conventional vehicle of the same size. But Knubben warns that the average cost should be used when comparing prices rather than matching individual models.

What's next? The Commission is expected to finalize the revised GBER by the end of the year.

AVIATION

KEEP IT DOWN, ZAVENTEM: Brussels Airport is causing noise pollution concerns in the nearby municipalities of Koekelberg, Molenbeek, Schaerbeek, Evere and Anderlecht, reports our colleague Jakob Weizman.

Unbearable: "The current noise pollution caused by passing aircraft is making living conditions unbearable for residents," said Elke Platteau, a doctor from Schaerbeek, in an open letter to Mobility Minister Jean-Luc Crucke and Public Health Minister Frank Vandenbroucke.

Noisy runway: "The RNP 07L route, which opened last year, is causing problems because it disturbs the sleep of people living in densely populated areas of Brussels. Recent scientific research shows a clear link between chronic exposure to aircraft noise and serious sleep disturbances," wrote Platteau.

Lawsuit incoming: People are suing the Belgian government and demanding the suspension of the route, as is the Brussels government. Crucke has set an Oct. 1 deadline to reach a political agreement on new flight paths.

SHIPPING

LOW WATER LEVELS ON RIVERS WORRY TRANSPORT UNIONS: Persistently low water levels on Europe's inland waterways pose a growing problem for the EU's transport sector and require stronger climate adaptation measures, the European Transport Workers' Federation said in a statement on Tuesday. The shift "also means anticipating the impact of these changes on employment, skills and working conditions," the union added.

Target reminder: The Commission in 2021 set a target of increasing cargo transport by inland waterways and short sea shipping by 25 percent by 2030. But the trend has gone in the opposite direction, with inland waterway freight traffic falling by 3 percent in 2025 compared with the previous year.

Hot summer not helping: "Low water levels on the Rhine, Danube and other navigable European rivers affect not only carrying capacity, reliability and transport costs. They also affect the workers on board and ashore," the ETF union said. While innovation in vessel design and new technologies is helping the sector adapt, "technological innovation alone cannot make Europe's inland waterways climate-resilient," the union argued. It called on the EU to invest in removing infrastructure bottlenecks, improving multimodal connections and ensuring that "workers do not have to compensate for the consequences of climate change."

CARS

GEELY TO BOOST EU CAR PRODUCTION: Geely, the owner of Volvo, is planning to make increasing use of its high-end subsidiary's European factories. The company's new chairman An Conghui confirmed the news in one of his first statements as boss, saying that the company was looking to build "luxury" models using capacity at Volvo's factories.

Locations: Volvo has factories in Sweden and Belgium and is building an electric car plant in Slovakia.

Dodging tariffs: The move is designed to avoid the EU's tariffs on made-in-China cars, imposed after an investigation found illegal subsidies. The EU sets an additional countervailing tariff of 18.8 percent on

battery-electric vehicles imported from Geely Group in China. The anti-subsidy duty is stacked on top of the EU's standard 10 percent car import tariff.

More production: Geely also has a joint venture with Ford; their factory in Valencia, Spain, will produce about 500,000 cars a year for both companies when it opens in 2028.

PIT STOPS

Poland's labor authority has launched an investigation into LOT Polish Airlines regarding its use of self-employed workers instead of full-time employees.

Headlines

Here's a recap of yesterday's news, along with Pro articles and alerts from overnight.

Brussels wants 'Buy European' but voters lean domestic, poll shows

Poll findings challenge the push for a European preference in public procurement in the EU's proposed Industrial Accelerator Act.

By Aude van den Hove · Aug 18, 2026, 12:20 pm Europe/Brussels CEST

Document: EU plans media carveout in state aid overhaul

Brussels is updating the General Block Exemption Regulation, the EU's main state aid framework.

By Francesca Micheletti · Aug 18, 2026, 10:56 am Europe/Brussels CEST

Pro Intelligence Connections

2021/0211(COD) Revision of the EU Emissions Tradin...

Discussions within the Council or its preparatory...

2021/0205(COD) Sustainable aviation fuels (ReFuelE...

Discussions within the Council or its preparatory...

This email alert has been sent for your exclusive use as a POLITICO Pro subscriber. Forwarding or reproducing the newsletter without the express, written permission of POLITICO Pro is a violation of the POLITICO Pro license agreement.

This email was sent to shondo@iies.co.jp

[Update settings](#) | [Unsubscribe from this email](#) | [Unsubscribe from all emails](#)

POLITICO SRL · Rue de la Loi 62 · Brussels 1040 · Belgium